



Quality management

For businesses, quality is not a vague term but a philosophy of meeting or going beyond consumer expectations. Excellent quality management can give a company a key competitive edge.

How it works

Many consumers might find it hard to define quality, because it can be subjective, but they know it when they see it. However, companies need to define and measure it. They know that to build a good reputation and thrive, they have to exceed customers' expectations in terms of quality for both products and

services. To do this, they have a number of standards or key performance indicators (KPIs) for the manufacturing process, and continually measure themselves against these. Quality does not apply just to the product or service itself; it ripples out to the associated people and processes, and across the organizational environment.

Cost of quality

Quality management is essential to ensure that any defects are nipped in the bud, the earlier the better, and definitely before they become apparent to the consumer.

CUSTOMER FIRST

Before the 1970s, quality was seen as something to be inspected and corrected. Then US businesses began to lose out to Japanese companies—for example, Toyota and Honda were able to produce cars at lower cost and with a much higher quality. The difference was that quality had a strategic meaning for Japanese firms—they made the customer their priority and were the first companies to define quality as meeting or exceeding customer expectations.

